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ACCOUNTING PRINCIPLES

TWELFTH EDITION

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WILEY

3 Adjusting The Accounts

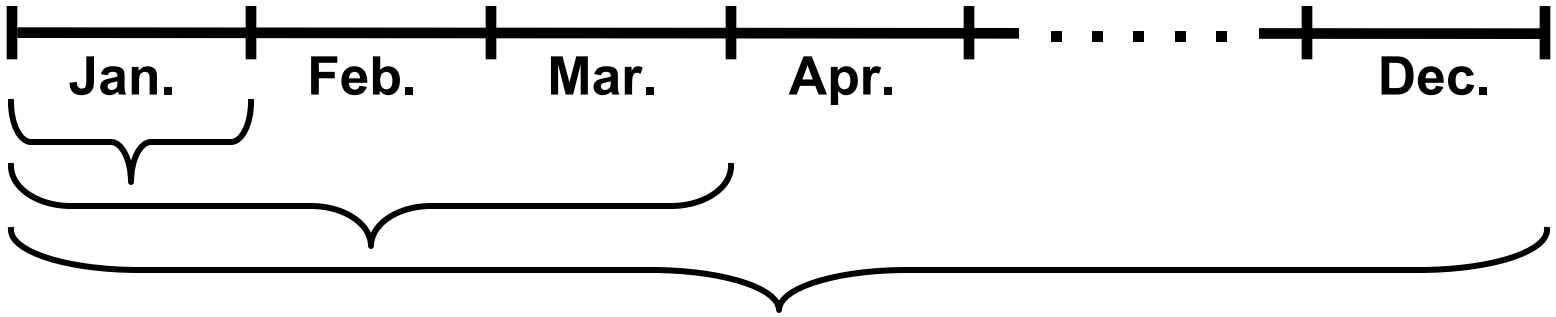
Learning Objectives

1. Explain the accrual basis of accounting and the reasons for adjusting entries.
2. Prepare adjusting entries for deferrals.
3. Prepare adjusting entries for accruals.
4. Describe the nature and purpose of an adjusted trial balance.

LEARNING OBJECTIVE 1

Explain the accrual basis of accounting and the reasons for adjusting entries.

Accountants divide the economic life of a business into artificial time periods (**Time Period Assumption**).



Generally a

- **month**,
- **quarter**, or
- **year**.

Alternative Terminology
The time period assumption is also called the *periodicity assumption*.

LO 1

Fiscal and Calendar Years

- Monthly and quarterly time periods are called **interim periods**.
- Most large companies must prepare both **quarterly** and **annual** financial statements.
- **Fiscal Year** = Accounting time period that is **one year** in length.
- **Calendar Year** = January 1 to December 31.

LO 1

Accrual- versus Cash-Basis Accounting

Accrual-Basis Accounting

- Transactions recorded in the **periods in which the events occur**.
- Companies **recognize revenues when they perform services** (rather than when they receive cash).
- **Expenses** are recognized when **incurred** (rather than when paid).
- In accordance with **generally accepted accounting principles (GAAP)**.

LO 1

Accrual- versus Cash-Basis Accounting

Cash-Basis Accounting

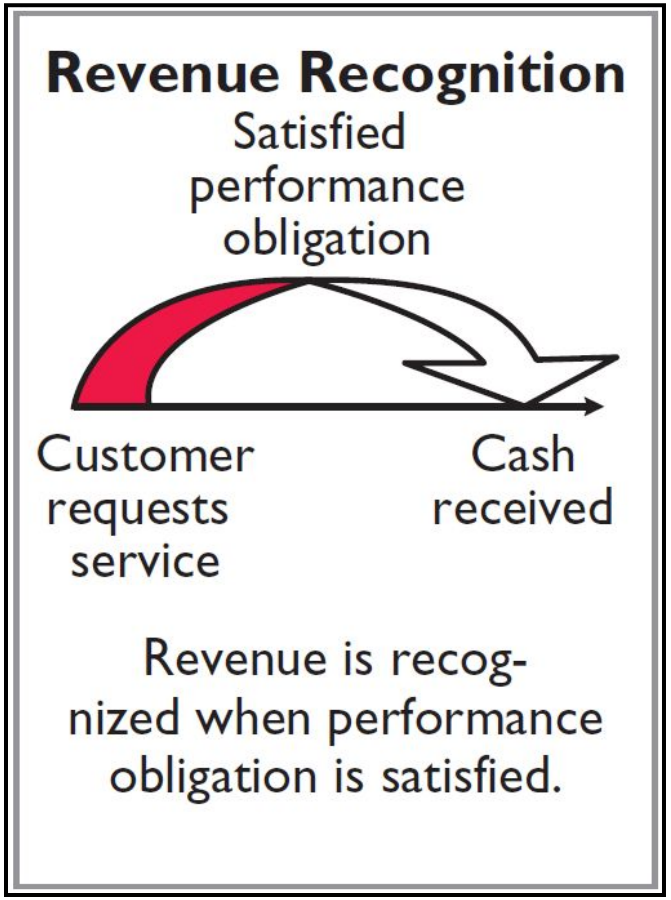
- **Revenues** recognized when **cash is received**.
- **Expenses** recognized when **cash is paid**.
- Cash-basis accounting is **not in accordance with generally accepted accounting principles (GAAP)**.

LO 1

Recognizing Revenues and Expenses

REVENUE RECOGNITION PRINCIPLE

Recognize revenue in the accounting period in which the **performance obligation** is satisfied.



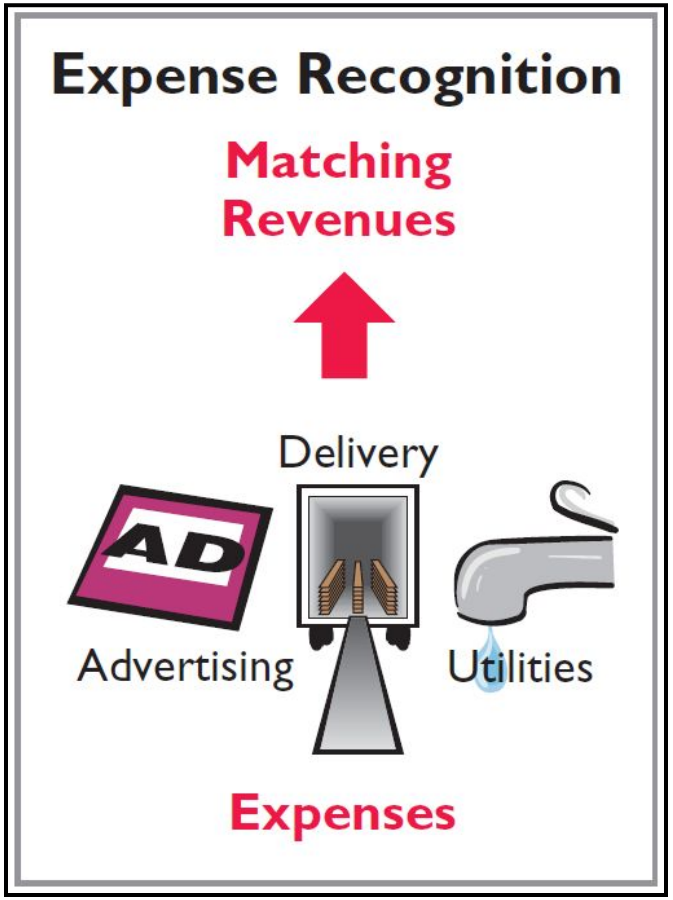
LO 1

Recognizing Revenues and Expenses

EXPENSE RECOGNITION PRINCIPLE

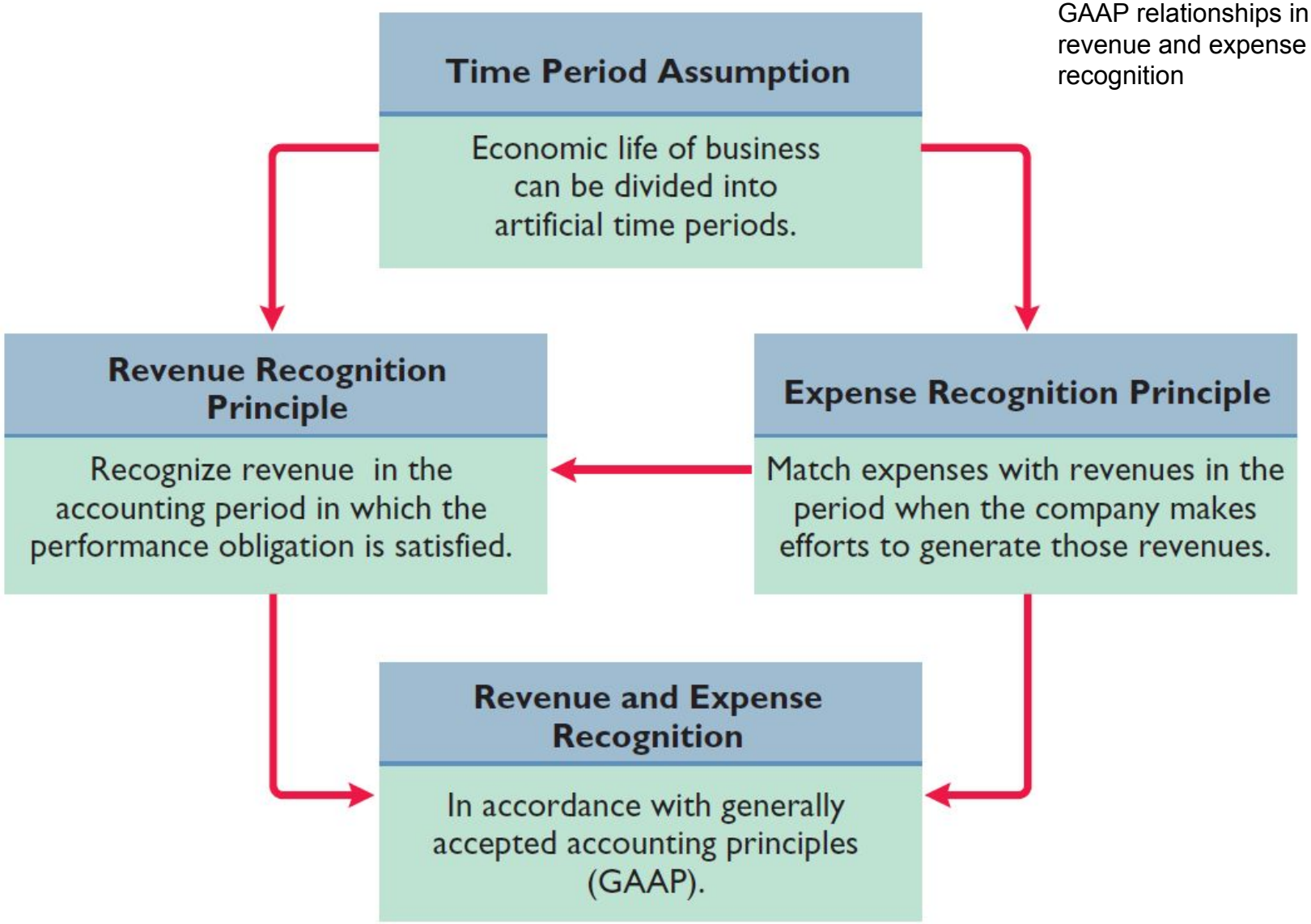
Match expenses with revenues in the period when the company makes efforts that generate those revenues.

"Let the expenses follow the revenues."



LO 1

Illustration 3-1
GAAP relationships in revenue and expense recognition



LO 1

The Need for Adjusting Entries

Adjusting Entries

- Ensure that the **revenue recognition** and **expense recognition** principles are followed.
- Necessary because the **trial balance may not contain up-to-date** and complete data.
- **Required** every time a company prepares financial statements.
- Will include **one income statement account** and **one balance sheet account**.

LO 1

Types of Adjusting Entries

Illustration 3-2
Categories of adjusting entries

Deferrals	Accruals
1. **Prepaid Expenses.** Expenses paid in cash before they are used or consumed.	1. **Accrued Revenues.** Revenues for services performed but not yet received in cash or recorded.
2. **Unearned Revenues.** Cash received before services are performed.	2. **Accrued Expenses.** Expenses incurred but not yet paid in cash or recorded.

LO 1

Types of Adjusting Entries

Trial Balance – Each account is analyzed to determine whether it is complete and up-to-date.

Illustration 3-3

PIONEER ADVERTISING
Trial Balance
October 31, 2017

	Debit	Credit
Cash	$ 15,200	
Supplies	2,500	
Prepaid Insurance	600	
Equipment	5,000	
Notes Payable		$ 5,000
Accounts Payable		2,500
Unearned Service Revenue		1,200
Owner's Capital		10,000
Owner's Drawings	500	
Service Revenue		10,000
Salaries and Wages Expense	4,000	
Rent Expense	900	
	$28,700	$28,700

LO 1

LEARNING OBJECTIVE 2

Prepare adjusting entries for deferrals.

Deferrals are **expenses or revenues** that are recognized at a date later than the point when cash was originally exchanged. There are **two types**:

- **Prepaid expenses**
- **Unearned revenues**

LO 2

Prepaid Expenses

Payment of cash, that is recorded as an asset to show the service or benefit the company will receive in the future.

Cash Payment **BEFORE** **Expense Recorded**

Prepayments often occur in regard to:

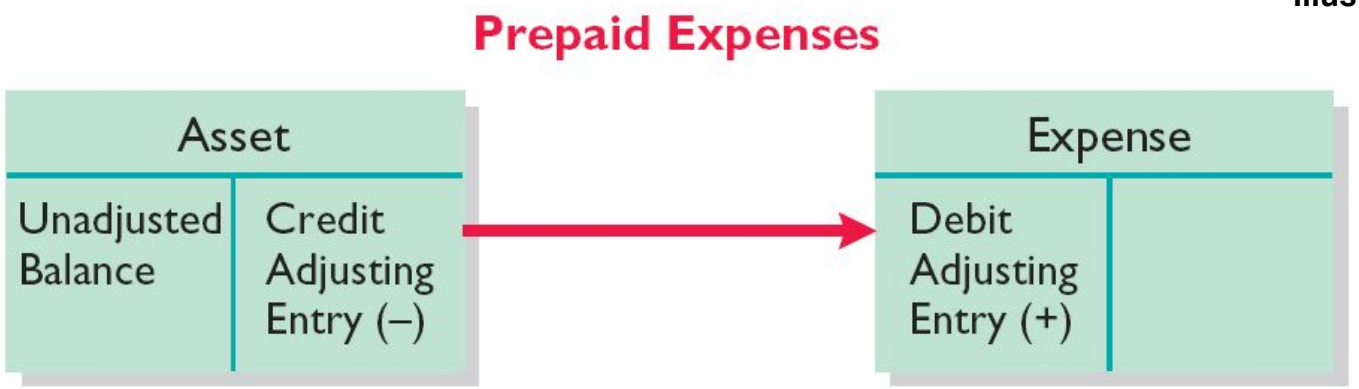
- insurance
- supplies
- advertising
- rent
- equipment
- buildings

LO 2

Prepaid Expenses

- Expire either with the passage of time or through use.
- Adjusting entry:
  - **Increase** (debit) to an **expense account** and
  - **Decrease** (credit) to an **asset account**.

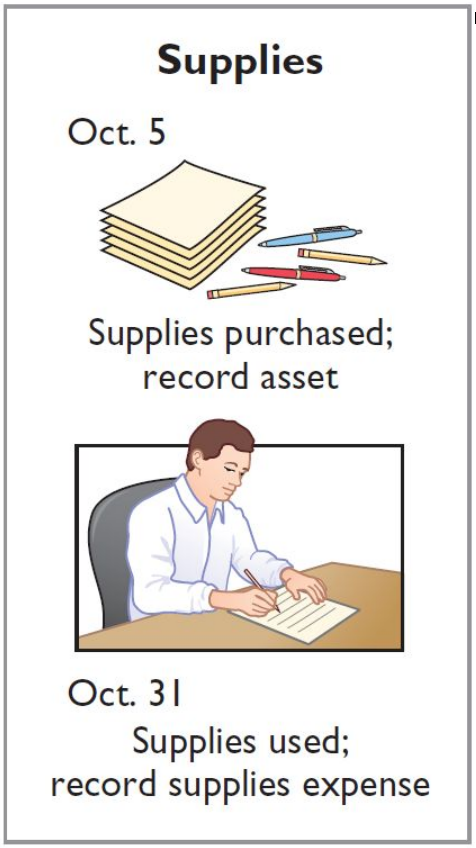
Illustration 3-4



LO 2

Supplies

Illustration: Pioneer Advertising purchased supplies costing $2,500 on October 5. Pioneer recorded the payment by increasing (debiting) the asset Supplies. This account shows a balance of $2,500 in the October 31 trial balance. An inventory count at the close of business on October 31 reveals that $1,000 of supplies are still on hand.



Oct. 31	Supplies Expense	1,500	
	Supplies		1,500

LO 2

Supplies

Illustration 3-5

Basic Analysis

The expense Supplies Expense is increased $1,500, and the asset Supplies is decreased $1,500.

Equation Analysis

	Assets	=	Liabilities	+	Owner's Equity
(1)	Supplies	=			Supplies Expense
	–$1,500				–$1,500

Debit–Credit Analysis

Debits increase expenses: debit Supplies Expense $1,500.
Credits decrease assets: credit Supplies $1,500.

Journal Entry

Oct. 31	Supplies Expense	1,500	
	Supplies		1,500
	(To record supplies used)		

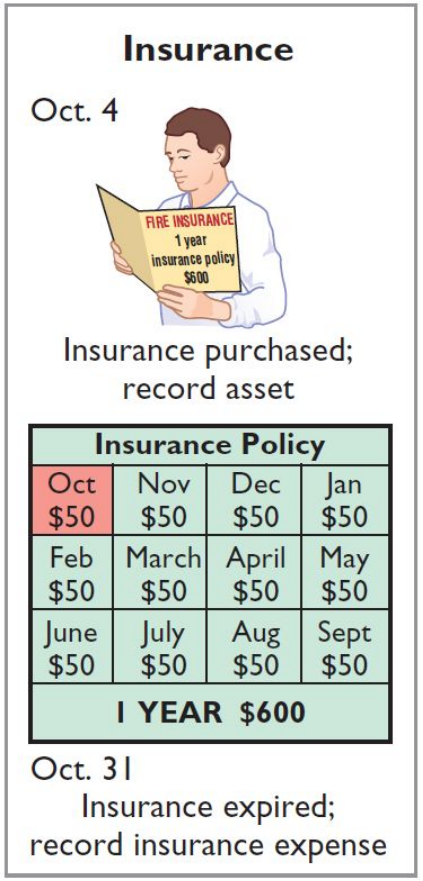
Posting

Supplies				126
Oct. 5	2,500	Oct. 31	Adj. 1,500	
Oct. 31	Bal. 1,000			

Supplies Expense				631
Oct. 31	Adj. 1,500			
Oct. 31	Bal. 1,500			

Insurance

Illustration: On October 4, Pioneer Advertising paid $600 for a one-year fire insurance policy. Coverage began on October 1. Pioneer recorded the payment by increasing (debiting) Prepaid Insurance. This account shows a balance of $600 in the October 31 trial balance. Insurance of $50 ($600 ÷ 12) expires each month.



Oct. 31	Insurance Expense	50	
	Prepaid Insurance		50

LO 2

Insurance

Illustration 3-6

Basic Analysis

The expense Insurance Expense is increased $50, and the asset Prepaid Insurance is decreased $50.

Equation Analysis

(2)

Assets	=	Liabilities	+	Owner's Equity
Prepaid Insurance				Insurance Expense
−$50	=			−$50

Debit–Credit Analysis

Debits increase expenses: debit Insurance Expense $50.
Credits decrease assets: credit Prepaid Insurance $50.

Journal Entry

Oct. 31	Insurance Expense	50	
	Prepaid Insurance		50
	(To record insurance expired)		

Posting

Prepaid Insurance			130
Oct. 4	600	Oct. 31	Adj. 50
Oct. 31	Bal. 550		

Insurance Expense			722
Oct. 31	Adj. 50		
Oct. 31	Bal. 50		

Depreciation

- **Buildings**, **equipment**, and **motor vehicles** (assets that provide service for many years) are **recorded as assets**, rather than an expense, on the date acquired.
- **Depreciation** is the process of **allocating the cost of an asset to expense** over its **useful life**.
- Depreciation **does not attempt** to report the actual change in the **value of the asset**.
  - **Allocation concept**, not a valuation concept.

LO 2

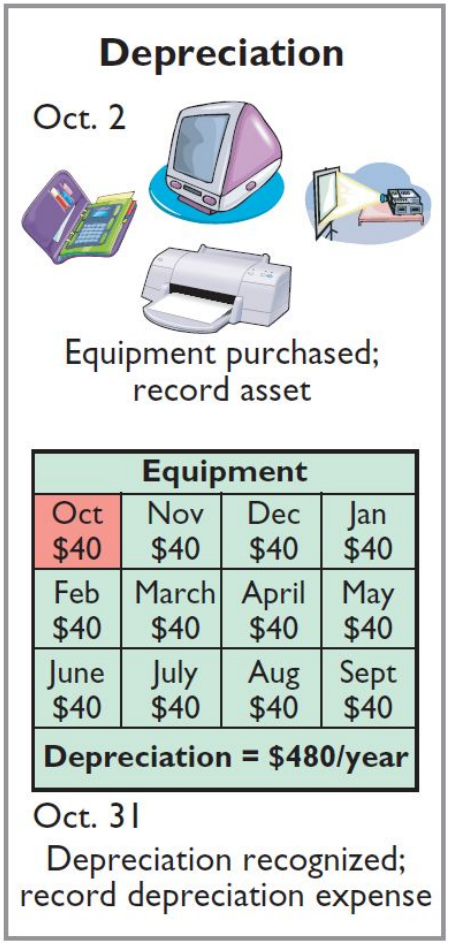
Depreciation

Illustration: For Pioneer Advertising, assume that depreciation on the equipment is $480 a year, or $40 per month.

Oct. 31

Depreciation expense	40	
Accumulated depreciation		40

Accumulated Depreciation is called a **contra asset account**.



LO 2

Illustration 3-7

Basic Analysis

The expense Depreciation Expense is increased $40, and the contra asset Accumulated Depreciation—Equipment is increased $40.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
Accumulated Depreciation—Equipment				Depreciation Expense
−$40	=			−$40

Debit–Credit Analysis

Debits increase expenses: debit Depreciation Expense $40.
Credits increase contra assets: credit Accumulated Depreciation—Equipment $40.

Journal Entry

Oct. 31	Depreciation Expense	40	
	Accumulated Depreciation—Equipment		40
	(To record monthly depreciation)		

Posting

Equipment		157
Oct. 2	5,000	
Oct. 31	Bal. 5,000	

Accumulated Depreciation—Equipment		158
	Oct. 31	Adj. 40
	Oct. 31	Bal. 40

Depreciation Expense		711
Oct. 31	Adj. 40	
Oct. 31	Bal. 40	

LO 2

Depreciation

STATEMENT PRESENTATION

- Accumulated Depreciation is a **contra asset account** (credit).
- **Offsets related asset account** on the balance sheet.
- **Book value** is the difference between the cost of any depreciable asset and its accumulated depreciation.

Illustration 3-8

Equipment	$ 5,000
Less: Accumulated depreciation—equipment	40
	$4,960

LO 2

Prepaid Expenses

Summary of the accounting for prepaid expenses.

ACCOUNTING FOR PREPAID EXPENSES			
Examples	**Reason for Adjustment**	**Accounts Before Adjustment**	**Adjusting Entry**
Insurance, supplies, advertising, rent, depreciation	Prepaid expenses recorded in asset accounts have been used.	Assets overstated. Expenses understated.	Dr. Expenses Cr. Assets or Contra Assets

Illustration 3-9
Accounting for prepaid expenses

LO 2

Unearned Revenues

Receipt of cash that is recorded as a liability because the service has not been performed.

Cash Receipt **BEFORE** **Revenue Recorded**

Unearned revenues often occur in regard to:

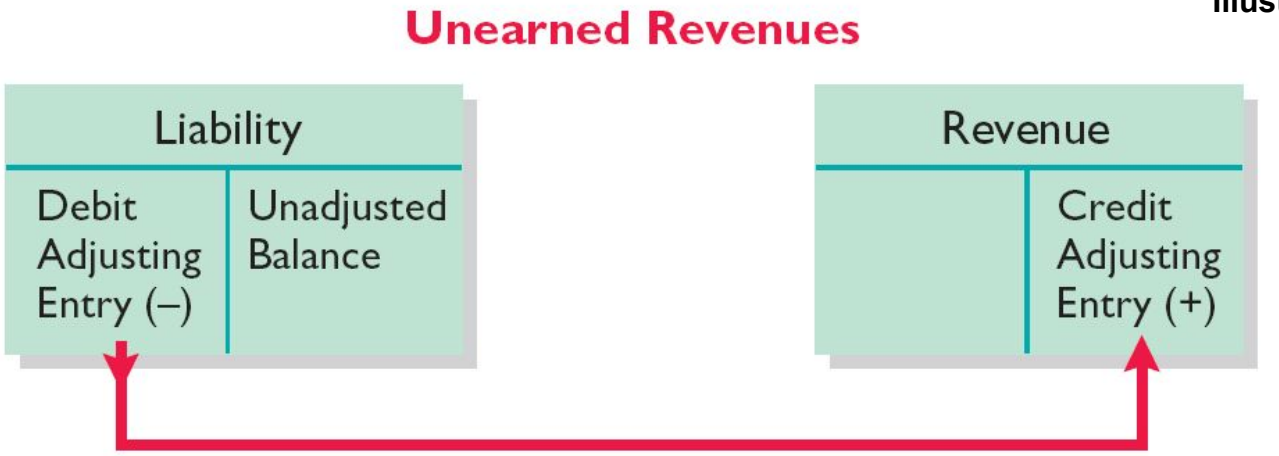
- Rent
- Airline tickets
- Magazine subscriptions
- Customer deposits

LO 2

Unearned Revenues

- Adjusting entry is made to **record the revenue** for services performed during the period and to show the liability that remains at the end of the period.
- Results in a **decrease** (debit) to a **liability account** and an **increase** (credit) to a **revenue account**.

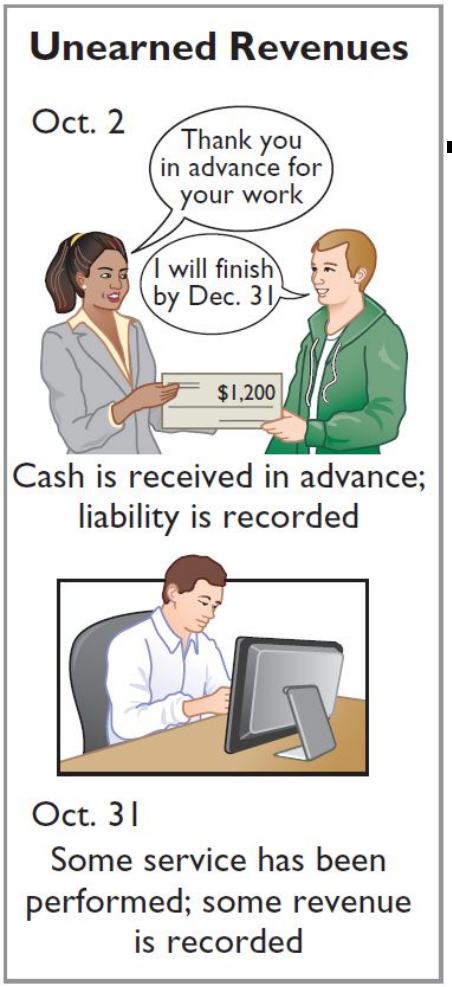
Illustration 3-10



LO 2

Unearned Revenues

Illustration: Pioneer Advertising received $1,200 on October 2 from R. Knox for advertising services expected to be completed by December 31. Unearned Service Revenue shows a balance of $1,200 in the October 31 trial balance. Analysis reveals that the company performed $400 of services in October.



Oct. 31	Unearned Service Revenue	400	
	Service Revenue		400

LO 2

Unearned Revenues

Illustration 3-11

Basic Analysis

The liability Unearned Service Revenue is decreased $400, and the revenue Service Revenue is increased $400.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
		Unearned Service Revenue		Service Revenue
		−$400		+$400

Debit–Credit Analysis

Debits decrease liabilities: debit Unearned Service Revenue $400.
Credits increase revenues: credit Service Revenue $400.

Journal Entry

Oct. 31	Unearned Service Revenue	400	
	Service Revenue		400
	(To record revenue for services performed)		

Posting

Unearned Service Revenue			209
Oct. 31	Adj. 400	Oct. 2	1,200
		Oct. 31	Bal. 800

Service Revenue			400
		Oct. 3	10,000
		31 Adj.	400
		Oct. 31	Bal. 10,400

Unearned Revenues

Summary of the accounting for unearned revenues.

Illustration 3-12

ACCOUNTING FOR UNEARNED REVENUES			
Examples	**Reason for Adjustment**	**Accounts Before Adjustment**	**Adjusting Entry**
Rent, magazine subscriptions, customer deposits for future service	Unearned revenues recorded in liability accounts are now recognized as revenue for services performed.	Liabilities overstated. Revenues understated.	Dr. Liabilities Cr. Revenues

LO 2

LEARNING OBJECTIVE 3

Prepare adjusting entries for accruals.

Accruals are made to record

- **Revenues** for services performed but not yet recorded at the statement date.
- **Expenses** incurred but not yet paid or recorded at the statement date.

LO 3

Accrued Revenues

Revenues for services performed but not yet received in cash or recorded.

Revenue Recorded **BEFORE** **Cash Receipt**

Accrued revenues often occur in regard to:

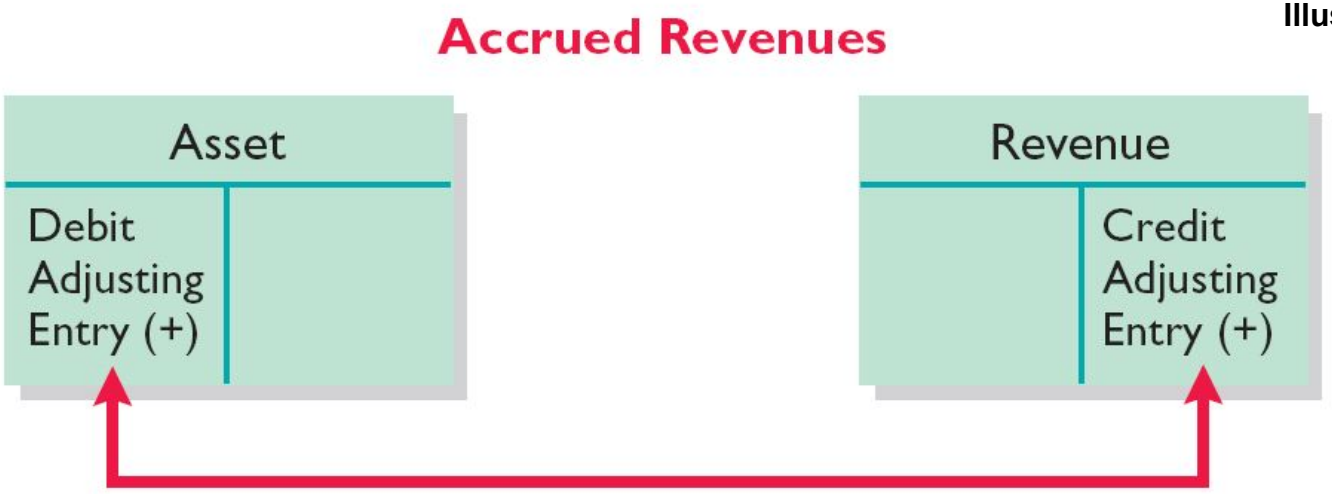
- Rent
- Interest
- Services

LO 3

Accrued Revenues

- Adjusting entry shows the **receivable** that exists and records the **revenues for services performed**.
- Adjusting entry:
  - **Increases** (debits) an **asset account** and
  - **Increases** (credits) a **revenue account**.

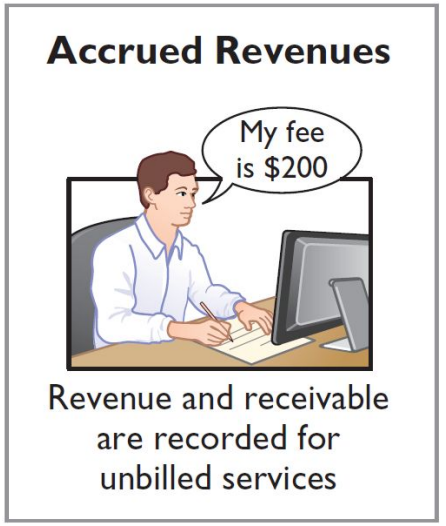
Illustration 3-13



LO 3

Accrued Revenues

Illustration: In October Pioneer Advertising performed services worth $200 that were not billed to clients on or before October 31.



Oct. 31			
	Accounts Receivable	200	
	Service Revenue		200

On November 10, Pioneer receives cash of $200 for the services performed.

Nov. 10	Cash	200	
	Accounts Receivable		200

LO 3

Accrued Revenues

Illustration 3-14

Basic Analysis

The asset Accounts Receivable is increased $200, and the revenue Service Revenue is increased $200.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
Accounts Receivable +$200				Service Revenue +$200

Debit–Credit Analysis

Debits increase assets: debit Accounts Receivable $200.
Credits increase revenues: credit Service Revenue $200.

Journal Entry

Oct. 31	Accounts Receivable	200	
	Service Revenue		200
	(To record revenue for services performed)		

Posting

Accounts Receivable 112

Oct. 31	Adj. 200		
Oct. 31	Bal. 200		

Service Revenue 400

		Oct. 3	10,000
		31	400
		31 Adj.	200
		Oct. 31 Bal.	10,600

LO 3

Accrued Revenues

Summary of the accounting for accrued revenues.

Illustration 3-15

ACCOUNTING FOR ACCRUED REVENUES			
Examples	**Reason for Adjustment**	**Accounts Before Adjustment**	**Adjusting Entry**
Interest, rent, services	Services performed but not yet received in cash or recorded.	Assets understated. Revenues understated.	Dr. Assets Cr. Revenues

LO 3

Accrued Expenses

Expenses incurred but not yet paid in cash or recorded.

Expense Recorded **BEFORE** **Cash Payment**

Accrued expenses often occur in regard to:

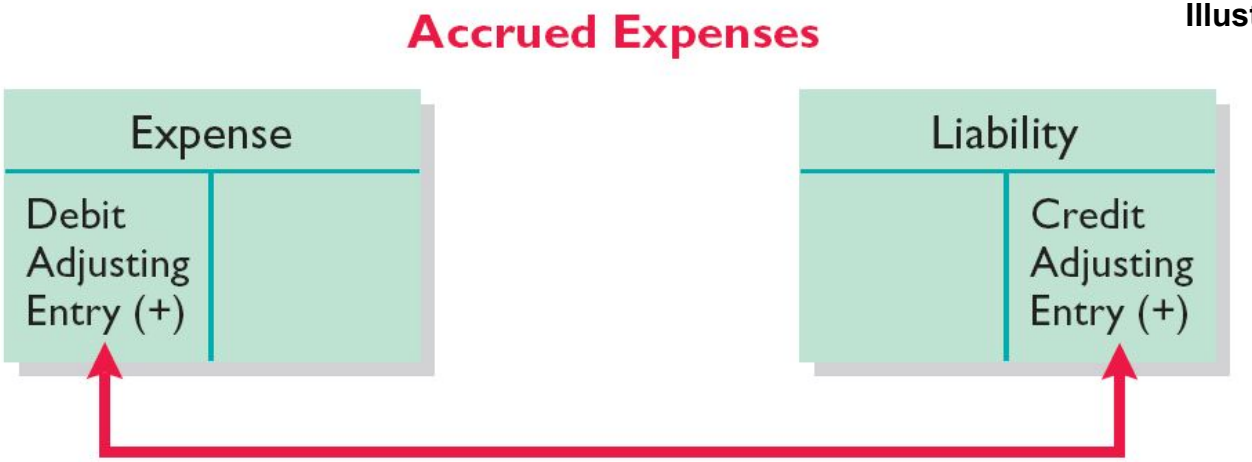
- Rent
- Interest
- Taxes
- Salaries

LO 3

Accrued Expenses

- Adjusting entry records the obligation and recognizes the expense.
- Adjusting entry:
  - **Increase** (debit) an **expense account** and
  - **Increase** (credit) a **liability account**.

Illustration 3-16



LO 3

Accrued Expenses

ACCRUED INTEREST

Illustration: Pioneer Advertising signed a three-month note payable in the amount of $5,000 on October 1. The note requires Pioneer to pay interest at an annual rate of 12%.

Illustration 3-17

Face Value of Note	×	Annual Interest Rate	×	Time in Terms of One Year	=	Interest
$5,000	×	12%	×	$\frac{1}{12}$	=	$50

Oct. 31	Interest expense	50	
	Interest payable		50

LO 3

Accrued Expenses

Illustration 3-18

Basic Analysis

The expense Interest Expense is increased $50, and the liability Interest Payable is increased $50.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
		Interest Payable		Interest Expense
		+$50		−$50

Debit–Credit Analysis

Debits increase expenses: debit Interest Expense $50.
Credits increase liabilities: credit Interest Payable $50.

Journal Entry

Oct. 31	Interest Expense	50	
	Interest Payable		50
	(To record interest on notes payable)		

Posting

Interest Expense			905
Oct. 31	Adj. 50		
Oct. 31	Bal. 50		

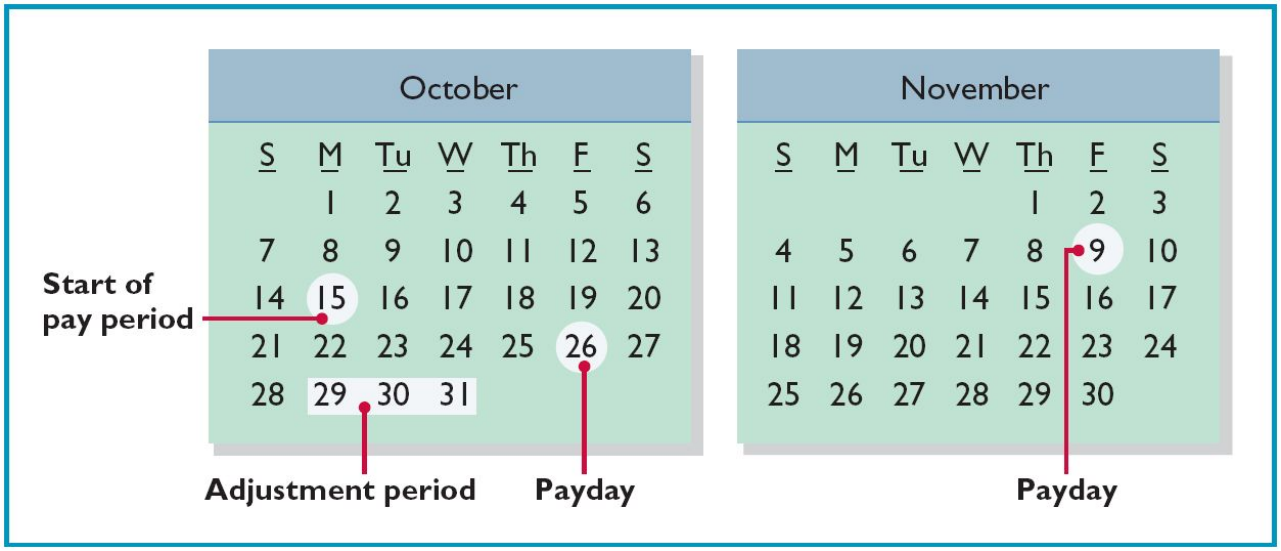
Interest Payable			230
		Oct. 31	Adj. 50
		Oct. 31	Bal. 50

Accrued Expenses

ACCRUED INTEREST

Illustration: Pioneer Advertising paid salaries and wages on October 26; the next payment of salaries will not occur until November 9. The employees receive total salaries of $2,000 for a five-day work week, or $400 per day.

Illustration 3-19



LO 3

Accrued Expenses

Illustration 3-20

Basic Analysis

The expense Salaries and Wages Expense is increased $1,200, and the liability account Salaries and Wages Payable is increased $1,200.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
		Salaries and Wages Payable		Salaries and Wages Expense
		+$1,200		−$1,200

Debit–Credit Analysis

Debits increase expenses: debit Salaries and Wages Expense $1,200.
Credits increase liabilities: credit Salaries and Wages Payable $1,200.

Journal Entry

Oct. 31	Salaries and Wages Expense	1,200	
	Salaries and Wages Payable		1,200
	(To record accrued salaries and wages)		

Posting

Salaries and Wages Expense 726

Oct. 26		4,000	
31	Adj.	1,200	
Oct. 31	Bal.	5,200	

Salaries and Wages Payable 212

		Oct. 31	Adj. 1,200
		Oct. 31	Bal. 1,200

Accrued Expenses

Summary of the accounting for accrued expenses.

Illustration 3-21

ACCOUNTING FOR ACCRUED EXPENSES			
Examples	**Reason for Adjustment**	**Accounts Before Adjustment**	**Adjusting Entry**
Interest, rent, salaries	Expenses have been incurred but not yet paid in cash or recorded.	Expenses understated. Liabilities understated.	Dr. Expenses Cr. Liabilities

LO 3

Summary of Basic Relationships

Illustration 3-22

Type of Adjustment	Accounts Before Adjustment	Adjusting Entry
Prepaid expenses	Assets overstated. Expenses understated.	Dr. Expenses Cr. Assets or Contra Assets
Unearned revenues	Liabilities overstated. Revenues understated.	Dr. Liabilities Cr. Revenues
Accrued revenues	Assets understated. Revenues understated.	Dr. Assets Cr. Revenues
Accrued expenses	Expenses understated. Liabilities understated.	Dr. Expenses Cr. Liabilities

LO 3

LEARNING OBJECTIVE 4

Describe the nature and purpose of an adjusted trial balance.

Adjusted Trial Balance

- Prepared **after all adjusting entries** are journalized and posted.
- Purpose is to **prove the equality** of debit balances and credit balances in the ledger.
- Is the **primary basis for the preparation of financial statements**.

Illustration 3-25

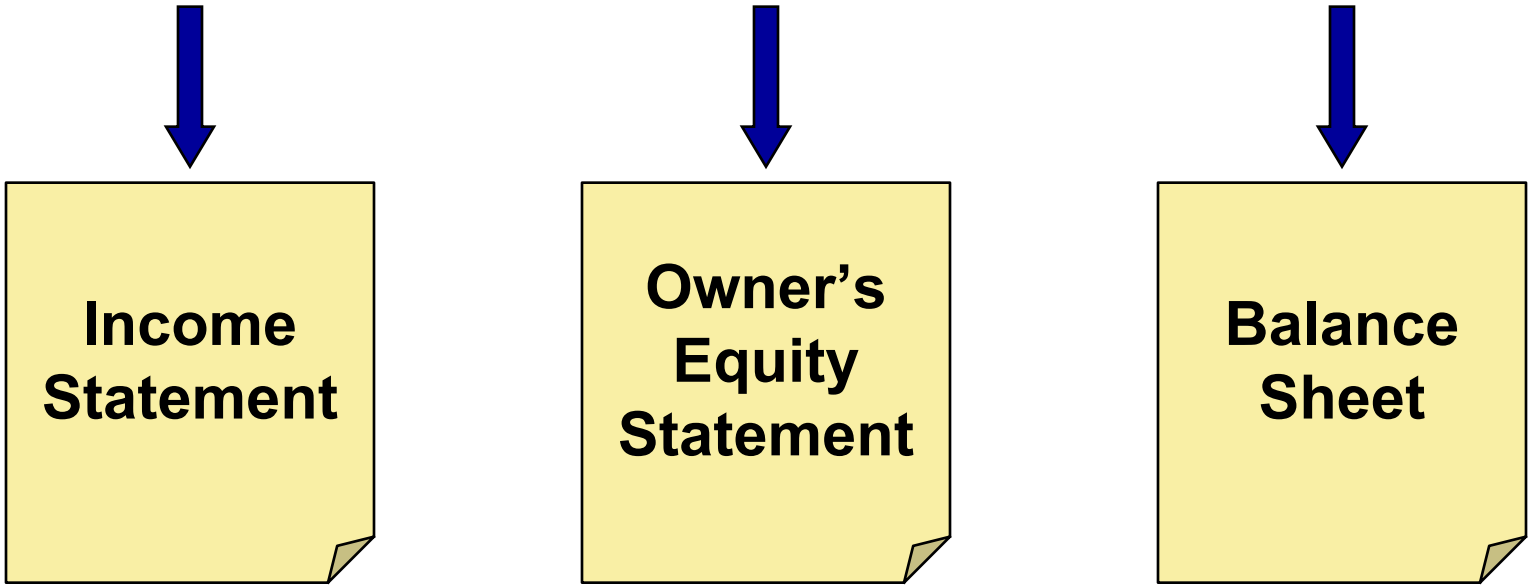
PIONEER ADVERTISING
Adjusted Trial Balance
October 31, 2017

	Debit	Credit
Cash	$ 15,200	
Accounts Receivable	200	
Supplies	1,000	
Prepaid Insurance	550	
Equipment	5,000	
Accumulated Depreciation—Equipment		$ 40
Notes Payable		5,000
Accounts Payable		2,500
Interest Payable		50
Unearned Service Revenue		800
Salaries and Wages Payable		1,200
Owner's Capital		10,000
Owner's Drawings	500	
Service Revenue		10,600
Salaries and Wages Expense	5,200	
Supplies Expense	1,500	
Rent Expense	900	
Insurance Expense	50	
Interest Expense	50	
Depreciation Expense	40	
	$30,190	$30,190

LO 4

Preparing Financial Statements

Financial Statements are prepared directly from the **Adjusted Trial Balance**.



LO 4

PIONEER ADVERTISING
Adjusted Trial Balance
October 31, 2017

Account	Debit	Credit
Cash	$15,200	
Accounts Receivable	200	
Supplies	1,000	
Prepaid Insurance	550	
Equipment	5,000	
Accumulated Depreciation—Equipment		$ 40
Notes Payable		5,000
Accounts Payable		2,500
Unearned Service Revenue		800
Salaries and Wages Payable		1,200
Interest Payable		50
Owner's Capital		10,000
Owner's Drawings	500	
Service Revenue		10,600
Salaries and Wages Expense	5,200	
Supplies Expense	1,500	
Rent Expense	900	
Insurance Expense	50	
Interest Expense	50	
Depreciation Expense	40	
	$30,190	$30,190

PIONEER ADVERTISING
Income Statement
For the Month Ended October 31, 2017

Revenues		
Service revenue		$10,600
Expenses		
Salaries and wages expense	$5,200	
Supplies expense	1,500	
Rent expense	900	
Insurance expense	50	
Interest expense	50	
Depreciation expense	40	
Total expenses		7,740
Net income		$ 2,860

PIONEER ADVERTISING
Owner's Equity Statement
For the Month Ended October 31, 2017

Owner's capital, October 1	$ –0–
Add: Investments	10,000
	10,000
Net income	2,860
	12,860
Owner's drawings	500
Owner's capital, October 31	$12,360

To balance sheet

Illustration 3-26
Preparation of the income statement and owner's equity statement from the adjusted trial balance

PIONEER ADVERTISING
Adjusted Trial Balance
October 31, 2017

Account	Debit	Credit
Cash	$15,200	
Accounts Receivable	200	
Supplies	1,000	
Prepaid Insurance	550	
Equipment	5,000	
Accumulated Depreciation—Equipment		$ 40
Notes Payable		5,000
Accounts Payable		2,500
Unearned Service Revenue		800
Salaries and Wages Payable		1,200
Interest Payable		50
Owner's Capital		10,000
Owner's Drawings	500	
Service Revenue		10,600
Salaries and Wages Expense	5,200	
Supplies Expense	1,500	
Rent Expense	900	
Insurance Expense	50	
Interest Expense	50	
Depreciation Expense	40	
	$30,190	$30,190

PIONEER ADVERTISING
Balance Sheet
October 31, 2017

Assets

Cash		$15,200
Accounts receivable		200
Supplies		1,000
Prepaid insurance		550
Equipment	$5,000	
Less: Accumulated depreciation—equip.	40	4,960
Total assets		$21,910

Liabilities and Owner's Equity

Liabilities	
Notes payable	$ 5,000
Accounts payable	2,500
Unearned service revenue	800
Salaries and wages payable	1,200
Interest payable	50
Total liabilities	9,550
Owner's equity	
Owner's capital	12,360
Total liabilities and owner's equity	$21,910

Capital balance at Oct. 31 from owner's equity statement in Illustration 3-26

Illustration 3-27
Preparation of the balance sheet from the adjusted trial balance

LO 4

LEARNING OBJECTIVE 5

APPENDIX 3A: Prepare adjusting entries for the alternative treatment of deferrals.

Alternate Treatment for Adjusting Entries

1. When a company prepays an expense, it **debits** that amount to **an expense account**.
2. When it receives payment for future services, it **credits** the amount to **a revenue account**.

LO 5

Prepaid Expenses

Company may choose to **debit (increase) an expense account** rather than an asset account. This alternative treatment is simply more convenient.

Illustration 3A-2

Prepayment Initially Debited to Asset Account (per chapter)				Prepayment Initially Debited to Expense Account (per appendix)			
Oct. 5	Supplies	2,500		Oct. 5	Supplies Expense	2,500	
	Accounts Payable		2,500		Accounts Payable		2,500
Oct. 31	Supplies Expense	1,500		Oct. 31	Supplies	1,000	
	Supplies		1,500		Supplies Expense		1,000

LO 5

Unearned Revenues

Company may **credit (increase) a revenue account** when they receive cash for future services.

Illustration 3A-5

Unearned Service Revenue Initially Credited to Liability Account (per chapter)			Unearned Service Revenue Initially Credited to Revenue Account (per appendix)		
Oct. 2 Cash	1,200		Oct. 2 Cash	1,200	
Unearned Service Revenue		1,200	Service Revenue		1,200
Oct. 31 Unearned Service Revenue	400		Oct. 31 Service Revenue	800	
Service Revenue		400	Unearned Service Revenue		800

LO 5

Summary of Additional Adjustments Relationships

Illustration 3A-7

Type of Adjustment	Reason for Adjustment	Account Balances before Adjustment	Adjusting Entry
1. Prepaid expenses	(a) Prepaid expenses initially recorded in asset accounts have been used.	Assets overstated. Expenses understated.	Dr. Expenses Cr. Assets
	(b) **Prepaid expenses initially recorded in expense accounts have not been used.**	**Assets understated.** **Expenses overstated.**	**Dr. Assets** **Cr. Expenses**
2. Unearned revenues	(a) Unearned revenues initially recorded in liability accounts are now recognized as revenue.	Liabilities overstated. Revenues understated.	Dr. Liabilities Cr. Revenues
	(b) **Unearned revenues initially recorded in revenue accounts are still unearned.**	**Liabilities understated.** **Revenues overstated.**	**Dr. Revenues** **Cr. Liabilities**

LO 5

LEARNING OBJECTIVE 6

APPENDIX 3B: Discuss financial reporting concepts.

Qualities of Useful Information

Two fundamental qualities, **relevance** and **faithful representation**.

Relevance

- Make a difference in a business decision.
- Provides information that has **predictive value** and **confirmatory value**.
- **Materiality** is a company-specific aspect of relevance.
  - An item is material when its **size** makes it likely to influence the decision of an investor or creditor.

LO 6

Qualities of Useful Information

Two fundamental qualities, **relevance** and **faithful representation**.

Faithful Representation

- Information accurately depicts what really happened.
- Information must be
  - **complete** (nothing important has been omitted),
  - **neutral** (is not biased toward one position or another), and
  - **free from error**.

LO 6

Qualities of Useful Information

ENHANCING QUALITIES

Comparability results when different companies use the same accounting principles.

Information is **verifiable** if independent observers, using the same methods, obtain similar results.

Information has the quality of **understandability** if it is presented in a clear and concise fashion.

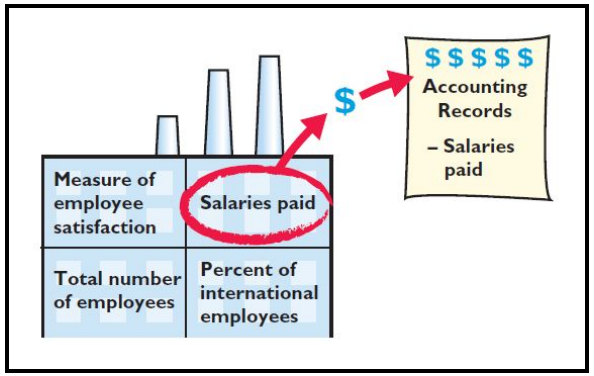
Consistency means that a company uses the same accounting principles and methods from year to year.

For accounting information to have relevance, it must be **timely**.

LO 6

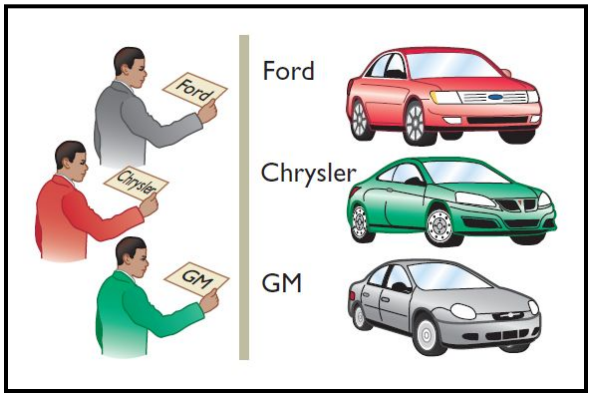
Assumptions in Financial Reporting

Illustration 3B-2



Monetary Unit

Requires that only those things that can be expressed in money are included in the accounting records.



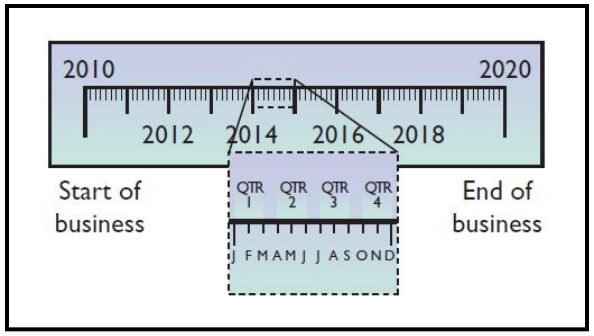
Economic Entity

States that every economic entity can be separately identified and accounted for.

LO 6

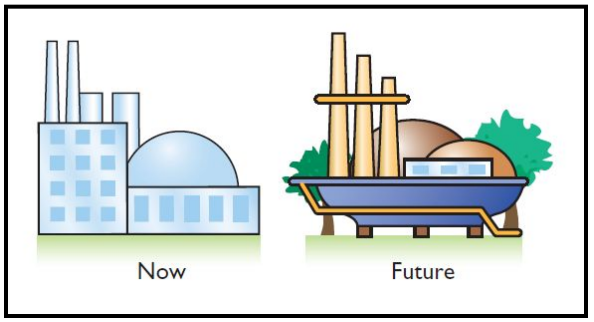
Assumptions in Financial Reporting

Illustration 3B-2



Time Period

States that the life of a business can be divided into artificial time periods.



Going Concern

The business will remain in operation for the foreseeable future.

LO 6

Principles of Financial Reporting

MEASUREMENT PRINCIPLES

Historical Cost	Fair Value
Or cost principle, dictates that companies record assets at their cost.	Indicates that assets and liabilities should be reported at fair value (the price received to sell an asset or settle a liability).

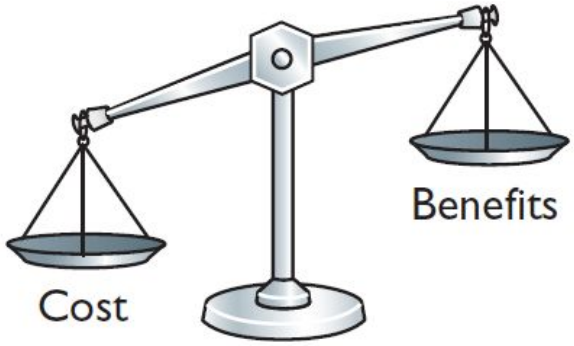
LO 6

Principles of Financial Reporting

Revenue Recognition Principle	Expense Recognition Principle	Full Disclosure Principle
Requires that companies recognize revenue in the accounting period in which the performance obligation is satisfied.	Dictates that efforts (expenses) be matched with results (revenues). Thus, expenses follow revenues.	Requires that companies disclose all circumstances and events that would make a difference to financial statement users.

LO 6

Cost Constraint



Cost Constraint

Accounting standard-setters weigh the cost that companies will incur to provide the information against the benefit that financial statement users will gain from having the information available.

LO 6